

The Rich Report

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U.S. ECONOMICS NEWS

- **Home Sales:** New single-family home sales fell 7.3% in May to a 580,000 annual rate, missing even the most pessimistic Bloomberg forecast and nearly matching the slowest pace since 2022. The U.S.-Iran conflict pushed 30-year fixed mortgage rates up roughly 45 basis points, while months' supply rose to 10.3 — though median prices are down 8% from their October 2022 peak, offering some affordability relief.³
- **Income vs. Inflation:** Personal income rose 0.7% in May, beating consensus, but private sector wages up 4.1% year-over-year merely kept pace with PCE inflation also running at 4.1% — leaving real purchasing power flat. The personal saving rate held at 3.0%, tied for its lowest since 2022 and a level last seen before that in 2008, raising sustainability concerns as spending outpaces income growth 6.3% to 3.8%.³
- **PCE Inflation:** The Fed's preferred inflation gauge, the PCE deflator, rose 0.4% in May with the year-over-year rate climbing to 4.1% — the highest since early 2023 — driven largely by the Iran conflict's effect on energy prices. Core PCE, excluding food and energy, rose to 3.4% annually, a notable acceleration from the 2.8% pace recorded just one year earlier, keeping the Fed firmly on pause.³
- **Q1 GDP Revised:** Final Q1 2026 real GDP was revised up to 2.1% annualized from 1.6%, but the composition is concerning — personal consumption grew at just 0.5%, the slowest in four years, while business investment surged 10.6%, almost entirely driven by AI-related equipment and intellectual property spending. Stripping out AI investment components, real GDP grew at only 0.3% in Q1.³
- **AI Investment:** Business investment contributed 1.4 percentage points to Q1 GDP growth — the largest single-category contribution — accelerating sharply from the prior quarter's 0.3% contribution. Equipment orders rose 15.8% and intellectual property 13.8% annualized, reflecting the ongoing data center buildout; corporate profits rose 12.8% year-over-year, providing further fuel for continued capital expenditure.³
- **Bank Stress Tests:** All 32 banks in the Fed's annual stress test demonstrated sufficient capital to absorb \$708 billion in losses under a severely adverse scenario — including 10% unemployment, a 58% equity market drop, and a 39% commercial real estate decline — with the average CET1 ratio bottoming at 11.2%, more than double the 4.5% regulatory minimum, reflecting the resilience built into the banking system since the post-2008 reforms.³

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DIGITAL ASSETS NEWS

- **Major Cryptocurrencies Headed for Third Straight Quarterly Loss:** Bitcoin, Ethereum, XRP, and Solana are poised to close the June quarter in the red, extending a prolonged downturn. BTC has fallen approximately 12% this quarter, a relative moderation following steeper declines of 23% and 22% in the preceding two quarters — signaling persistent bearish pressure across the broader digital asset market despite occasional short-term recoveries.⁵
- **STRC Preferred Stock Trades at Steep Discount to Par:** Strategy's STRC preferred stock is currently trading near \$73, approximately 27% below its \$100 par value, reflecting market skepticism ahead of the upcoming monthly dividend rate reset. Investors widely anticipate Strategy will need to raise the dividend rate to at least 12%–12.50% to attract sufficient buyer interest and close the gap to par.⁵
- **BlackRock's Bitcoin Allocation Recommendation:** In a widely noted portfolio strategy paper, BlackRock — the world's largest asset manager — formally endorsed a 1%–2% Bitcoin allocation for traditional investors. The recommendation cited Bitcoin's low correlation with conventional assets and its asymmetric return potential as justification for a modest but meaningful position, signaling a significant shift in institutional attitudes toward cryptocurrency as a legitimate diversification tool.⁵
- **BNY Expands Digital Asset Custody to Include USDC:** BNY Mellon will integrate Circle's USDC into its Digital Asset Custody platform, enabling institutional clients to custody, mint, and redeem the stablecoin directly through the bank's infrastructure. The partnership marks a significant step in bringing stablecoins into traditional finance, with BNY signaling plans to onboard additional stablecoin issuers as institutional demand grows.⁵

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GEOPOLITICS NEWS

- **China:** China's LineShine supercomputer has claimed the world's top spot on the Top500 ranking, calculating 22% faster than the US's El Capitan. Built on domestically developed CPUs rather than GPUs, LineShine's success signals a significant step in China's effort to build an independent computing ecosystem despite Western technology restrictions.¹
- **China/Japan:** China escalated its trade dispute with Japan by doubling the number of Japanese entities subject to export controls, now targeting defense research institutes and Mitsubishi affiliates. The feud stems from PM Takaichi's November comments suggesting Japan could deploy its military if China attempted to seize Taiwan — comments she has refused to retract.¹
- **Germany:** A government-appointed commission has proposed overhauling Germany's pension system by adopting a Swedish-style fund with mandatory worker and employer contributions invested in financial markets. The proposal also calls for gradually raising the retirement age, as demographic pressures strain the existing pay-as-you-go model.¹
- **Iran/US:** Technical talks between the US and Iran in Switzerland concluded successfully, establishing working groups and implementation mechanisms for the Islamabad MOU signed June 17. A key outcome is the agreed release of \$12 billion in frozen Iranian assets, which Trump says will be spent exclusively on US agricultural exports. High-level talks are also set for Doha, with Witkoff and Kushner attending amid renewed tensions over weekend strikes near the Strait of Hormuz.¹
- **Israel/Lebanon:** The US claimed Israel withdrew from part of its buffer zone in southern Lebanon as a goodwill gesture, calling on Lebanese armed forces to move in and clear Hezbollah infrastructure. Both Israel and Lebanon denied any pullback had occurred, with Israeli officials insisting withdrawal would only follow full demilitarisation of the south.¹
- **Russia/Ukraine:** Putin publicly acknowledged for the first time that Ukraine's drone strikes on energy infrastructure have caused fuel shortages across Russia, calling the situation serious but "not critical." Moscow is considering a ban on diesel exports, while Zelensky reported new strikes on oil refineries over 1,500 km from the front line and said Russia is repositioning air defenses to protect Moscow, Putin's residence at Valdai, and the Kerch Bridge.¹
- **Strait of Hormuz/Shipping:** Oil tanker traffic through the Strait of Hormuz resumed but remains fragile, with weekend attacks on vessels making shipping companies increasingly wary. Iran's Revolutionary Guards warned ships to follow Tehran-designated routes, rejecting UN-coordinated lanes as "unacceptable." Several Saudi supertankers transited with transponders off, suggesting some operators are moving cargo quietly rather than under US-assisted navigation.¹

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THE GOOD NEWS

- **Burn Treatment Breakthrough:** An 18-year-old Canadian burn patient became the first person in the world to receive exosome therapy for burn injuries, after suffering serious burns to her face and neck. Exosomes — tiny cell-released particles that coordinate healing and reduce inflammation — had shown promise in wound research for years but had never before been used on a human burn patient, with the recipient describing results as "a miracle."²
- **Opioid Deaths Falling:** Canada recorded 5,608 opioid-related deaths in 2025, a 23% drop from 2024 and well below the pandemic-era peak of 8,040 in 2023. Stimulant-related deaths also fell 31% year-over-year, though progress remains geographically uneven and overall mortality stays above pre-pandemic baselines.²
- **Quiet AI Drug Wins:** While headlines focus on AI discovering entirely new drugs, Amgen's CTO argues the near-term gains are in less glamorous but high-impact areas — target discovery, lead optimization, manufacturing efficiency, and clinical trial recruitment — incremental improvements that could collectively reshape how medicines reach patients.²

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DIVIDEND PORTFOLIO NEWS

- **DGX:** Quest Diagnostics received New York State regulatory approval for its Haystack MRD (minimal residual disease) cancer monitoring test, expanding its oncology diagnostics offerings.⁴
- **GD:** General Dynamics' land systems unit won a \$209.3M contract modification for Abrams tank engineering work. GD was also cited in coverage of White House pressure on defense contractors to accelerate weapons production amid shrinking U.S. stockpiles.⁴
- **LMT:** Major contract week — Lockheed secured a \$35.33B multi-year THAAD missile defense contract, an \$8.4B boost lifting a separate missile program to \$13.3B total, and established a missile sustainment center in Finland with a local partner. The company also unveiled a new hypersonic glide body targeting lower production costs, and partnered with Ondas's Sentrycs on counter-drone systems.⁴
- **NEE:** FERC approved construction of the Mountain Valley Southgate pipeline extension into North Carolina, a positive regulatory development.⁴

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GROWTH PORTFOLIO NEWS

- **COIN:** Coinbase secured a MiCA regulatory license via Luxembourg, enabling EU expansion — a significant milestone for its international growth strategy.⁴
- **CVX:** Chevron is actively exploring deals to power U.S. data centers and partnered with Texas Pacific Land for a large-scale power project. Venezuela operations remain unaffected by earthquakes. Trump directed the DOJ to investigate Big Oil over pump price gouging, and a Chevron exec cautioned there's no quick fix to lowering gas prices despite political pressure.⁴
- **FTNT:** Fortinet was cited in coverage of Chinese AI closing in on U.S. cybersecurity models, raising competitive stakes. Trump also signed executive orders to accelerate quantum adoption and boost cyber defense, a tailwind for the broader cybersecurity sector.⁴
- **MRVL:** Marvell holds a leading share in the growing CXL interconnect market, with UBS raising estimates. BofA raised its price target citing AI visibility through 2028.⁴
- **TSM:** IBM's unveiling of sub-1nm chip technology and SK Hynix's planned \$29.4B U.S. Nasdaq listing were key semiconductor supply chain developments.⁴

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S U M M A R Y

In regard to the United States Economy, the headline story is tension between resilient business investment and a softening consumer. Q1 GDP was revised up to 2.1%, but personal consumption grew just 0.5%, with AI-driven capital expenditure carrying most of the weight. PCE inflation climbed to 4.1% annually — its highest since early 2023 — keeping the Fed on hold. Treasury yields fell late in the week as easing U.S.-Iran tensions pulled crude oil below \$70 per barrel.

In the world of digital assets, institutional adoption continues advancing even as prices struggle. BlackRock formally endorsed a 1%–2% Bitcoin allocation for traditional portfolios, citing diversification benefits and asymmetric return potential. BNY Mellon expanded its custody platform to include USDC, marking a meaningful step toward stablecoin integration within traditional finance. Bitcoin and major altcoins remain on pace for a third consecutive negative quarter, reflecting persistent bearish sentiment across the broader market.

Recently around the globe, the U.S.-Iran relationship dominated geopolitical attention. Technical talks in Switzerland produced implementation mechanisms for the earlier Islamabad agreement, including release of \$12 billion in frozen Iranian assets. Separately, China escalated trade tensions with Japan, claimed the world's top supercomputing ranking with a domestically built system, and continued expanding nuclear capacity — underscoring its strategic ambitions across technology, trade, and energy infrastructure.

For the good news, progress on multiple health fronts offered genuine encouragement. England's HPV vaccination program has driven cervical cancer deaths in vaccinated young women to near zero — a historic milestone representing roughly 200 lives saved. Canada reported a 23% drop in opioid-related deaths in 2025, well below pandemic-era peaks. An 18-year-old Canadian patient also became the first human recipient of exosome therapy for burn injuries, with early results described as remarkably promising.

In the news for the dividend portfolio, defense holdings generated significant activity. Lockheed Martin secured a \$35.33 billion multi-year THAAD missile defense contract alongside several additional awards, while General Dynamics won a contract modification for Abrams tank work. White House pressure to accelerate weapons production adds urgency across the sector. On the utilities side, FERC approved a pipeline extension benefiting NextEra, and growing AI-driven power demand continues reinforcing the long-term case for utility exposure.

And, for the growth portfolio, semiconductor and cybersecurity names led the week's developments. Marvell received raised price targets from UBS and Bank of America, with analysts citing strong AI revenue visibility through 2028. Fortinet stands to benefit from executive orders accelerating quantum adoption and cyber defense investment. Coinbase secured a MiCA license enabling European Union expansion — a strategically important regulatory milestone for its international growth ambitions.

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RESOURCES



1. Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
2. <https://newsletter.humanprogress.org/>
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